51.8 per cent, while CVs saw a 17.7 per cent growth. "This is the highest-ever festive season sales, with overall retail auto sales crossing half a million units in October," says Gaurav Vaangal, associate director at S&P Global Mobility. "The GST cuts were specifically targeted at the auspicious period, and the sales reflected this. The other factor has been the pent-up demand...many buyers had postponed purchases in anticipation of the GST cut."

Maruti Suzuki sold the most PVs in October (239,000) with a market share of 43 per cent, followed by Tata Motors which sold 75,352 units (13.5 per cent), and Mahindra with 67,918 (12 per cent). Hero MotoCorp was the leader in two-wheelers, selling 994,000 units in October with a 31.5 per cent share, followed by Honda Motorcycle and Scooter India (822,000 units and a 26 per cent share) and TVS Motor Co. (558,000 units for 17.7 per cent). A research note from Bank of Baroda also observed that "...more than 60 per cent total auto sales were seen during this specific (Navratri) period, which itself speaks of the positive influence emanating from GST rate cuts targeted towards this sector, amongst others".

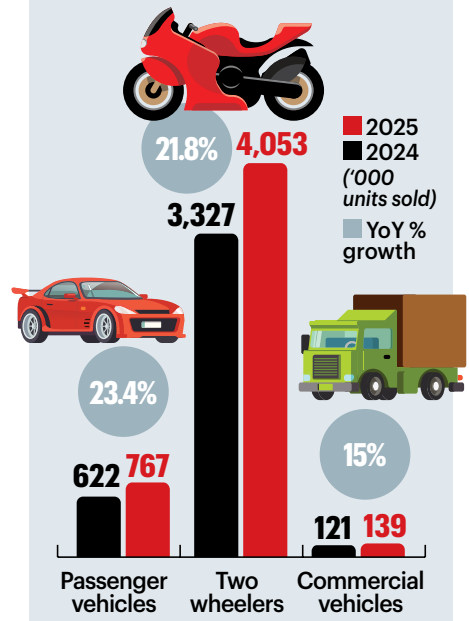
HURRAY FOR GST CUTS

The Centre announced the GST rationalisation in September in a bid to boost demand and make taxation more transparent. This saw a shift to a two-slab system of 5 per cent and 18 per cent, removing the additional 12 per cent and 28 per cent rates that existed earlier. Also, a 40 per cent tax was imposed on luxury and 'sin goods' such as pan masala, tobacco and aerated drinks. With the GST cuts, small cars (under 4 metres in length and displacement less than 1,200 cubic centimetres (cc) in their petrol guise or 1,500 cc in diesel) which were taxed earlier at 28 per cent, saw taxes being reduced to 18 per cent. Similarly, motorcycles up to 350 cc have seen GST on them reduced from 28 per cent to 18 per cent.

Although the GST restructuring was first announced by Prime Minister Narendra Modi during his I-Day speech, the policy announcement came on September 4 and the revised rates came into effect on the 22nd. This led to prospective buyers holding back their purchases in anticipation of the GST cuts and the quantum jump in sales in October. PV sales saw over 86 per cent growth compared to September, while CV sales grew nearly 50 per cent and two-wheelers grew nearly 145 per cent. The auto sector will need a longer wait, possibly post-January 2026, before the actual impact of the GST cut can be ascertained and help one see whether the tweaks have indeed revived consumption.

FADA says the GST rate cuts, especially for entry-level two-wheelers and small cars, spurred the affordability factor and first-time buying. Rural India became the growth engine, aided by a strong monsoon, higher farm incomes and infrastructure spending, it said. "October 2025 will be remembered as a landmark month for India's auto retail, where reforms, festivities, and rural resurgence came together to deliver record-breaking results," C.S. Vigneshwar, FADA president, said. "Overall retail sales grew by a robust 40.5 per cent year-on-year, as both passenger vehicles and two-wheelers achieved lifetime highs, signalling renewed consumer confidence and strong economic undercurrents." Rural PV sales grew over three times faster than urban, while rural two-wheeler growth was nearly double urban rates, marking a structural shift in the demand map of India's auto sector.

VROOMING AHEAD



Source: *FADA Research; figures for all-India festive season (Sept. 22-Nov. 2)*

RURAL PV SALES GREW OVER THREE TIMES FASTER THAN URBAN... MARKING A STRUCTURAL SHIFT IN AUTO SECTOR'S DEMAND MAP

EVs DON'T SHARE THE JOY

Meanwhile, the share of electric vehicles (EVs) in two-wheelers nearly halved to 4.6 per cent in October compared to over 8 per cent in September and 6.8 per cent a year ago. For cars, the share fell from 5.1 per cent in September to 3.2 per cent in October. Compared to October 2024, this was a marginal rise of 1 per cent. The GST on EVs was kept unchanged at 5 per cent, and the status quo could have acted as a disincentive, say analysts.

Looking ahead, S&P's Vaangal says the spillover effect will continue through November and December. "The trend of premiumisation continues, with the market moving towards compact sports utility vehicles (SUVs) like Maruti Fronx and Tata Punch. Sub four-metre SUVs will have a better sales traction, going forward," he adds.

Auto dealers expect the marriage season, harvest cash flows and new launches to sustain the momentum through the year-end. Dealers are expecting a growth in November, compared to the 8 per cent de-growth last year. Upcoming new model launches, healthier financing conditions and stable fuel prices will further reinforce a supportive ecosystem for continued growth. ■